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Case Number: 26STCV04802 Hearing Date: August 4, 2026 Dept: 307

13 TENTATIVE RULING 9:15 a.m., Tuesday, August 4, 2026

WANDA

JAMES v. US MODULAR INC., et al. [26STCV04802]

DEFENDANT

US MODULAR INC.'S MOTION TO COMPEL ARBITRATION

DEFENDANTS

TODD KESSELER, BILL CAVENAUGH, AND AVE FERREIRA'S JOINDER TO THE MOTION TO COMPEL ARBITRATION

TIMELINE:

alleges breach of contract for new home construction

4/8/2021: Plaintiff Wanda James ("Plaintiff")

and Defendant US Modular, Inc. ("US Modular") enter into a written Construction Agreement (the "Agreement") pertaining to the installation of a pre-constructed single-family manufactured home (the "Property") on Plaintiff's property in Pasadena, CA. (Kessler Decl., Exh. 1.) Defendants Todd Kessler ("Kessler") and Bill Cavanaugh ("Cavanaugh") are current officers and shareholders of US Modular, while Defendant Ave Ferreira ("Ferreira") is a former officer and shareholder of US Modular. (Id., ¶ 3; See Compl., p. 3.)

2/17/2026:

Plaintiff files the Complaint, alleging what appears to be a single

cause of

action for breach of contract.

5/22/2026: US Modular files this Motion to Compel Arbitration, which is followed by Plaintiff's Opposition (6/29/2026) and US Modular's Reply (7/20/2026).

7/14/2026: Kessler, Cavanaugh, and Ferreira file a Joinder to US Modular's Motion to Compel Arbitration.

TENTATIVE

RULING: DEFENDANT US MODULAR INC.'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS is GRANTED.

DEFENDANTS

TODD KESSELER, BILL CAVENAUGH, AND AVE FERREIRA'S JOINDER TO THE MOTION TO COMPEL ARBITRATION is DENIED.

I. MOTION

TO COMPEL ARBITRATION – GRANTED

US

Modular moves to compel the claim(s) alleged in Plaintiff's Complaint to arbitration on the grounds that the underlying Agreement contains an arbitration provision governing claims arising out of the Agreement and the Property. (Mot., at p. 3; Joinder, at p. 2.)

US

Modular submits a copy of the Agreement governing this dispute. (Kessler Decl., Exh. 1.) The relevant "Arbitration of Disputes" provision underlying this motion states in relevant part:

Any controversy among the parties to this agreement or relating to the performance of this agreement is subject to binding arbitration. Arbitration shall be conducted under the Construction Industry Rules of the American Arbitration Association that are in effect at the time of the arbitration, and judgment may be entered on the award.

...

All parties shall bear their own costs,

including but not limited to attorney fees, filing fees, and expert witness costs and fees. The Arbitration shall take place at the AAA office as near as practicable to the location of the Project.

NOTICE: BY INITIALING IN THE SPACE BELOW YOU ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE "ARBITRATION OF DISPUTES" PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW YOU ARE GIVING UP YOUR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS THOSE RIGHTS ARE SPECIFICALLY INCLUDED IN THE "ARBITRATION OF DISPUTES" PROVISION. IF YOU REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, YOU MAY BE COMPELLED TO ARBITRATION UNDER THE AUTHORITY OF THE BUSINESS AND PROFESSIONS CODE OR OTHER APPLICABLE LAWS. YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY." "WE HAVE READ AND UNDERSTAND THE FOREGOING AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THE "ARBITRATION OF DISPUTES" PROVISION TO NEUTRAL ARBITRATION.

(Id. § 16.) The Agreement was signed by "Wanda James" [Plaintiff] on April 9, 2021, as "Owner" and by Kessler as President on behalf of US Modular as "Contractor." (Id. p. 7.) The Agreement is also initialed on (almost) every page by both signatories and Owner, "WJ," also specifically initialed the Arbitration of Disputes provision. (Id. pp. 1-9, § 16.)

While

Plaintiff's Complaint is somewhat uncertain as to the specific causes of action being alleged against Defendants, she admits that the case "essentially involves a breach of contract" between US Modular, Kessler, Ferreira, and Cavanaugh on the one hand and Plaintiff on the other. (Compl., at p. 3.) Plaintiff further alleges "US Modular and the owners associated [Kessler, Ferreira, and Cavanaugh] along with the manufacturers breached the contract that [she] entered into..." (Id. at p. 4.) Kessler, who is the President and CEO of US Modular, concedes that the parties entered into the Construction Agreement identified above. (Kessler Decl., ¶ 2.)

Because Plaintiff's entire Complaint plainly arises out of an alleged breach of this Agreement, the Court finds that US Modular has overcome its initial burden of demonstrating that the arbitration provision in Section 16 of the Agreement governs Plaintiff's claims. (See *Sprunk v. Prisma LLC* (2017) 14 Cal.App.5th 785, 793; [parties seeking to compel arbitration meet their initial burden simply by attaching a copy of the

provisions, unless there is a dispute over authenticity that is beyond merely contesting the preliminary showing].)

In her

Opposition, Plaintiff argues that the arbitration provision is not enforceable because a representative of US Modular did not specifically initial the arbitration provision itself. (Id. at p. 1.) Notably, unlike the initial space for “Owner,” there is no designated space for the Contractor to independently consent to this provision. (Kessler Decl., Exh. 1, § 16.) Even so, Plaintiff fails to submit binding legal authority conclusively demonstrating that the arbitration provision in the Agreement is rendered unenforceable simply because it was not initialed by the Contractor.[1]

At

minimum, Plaintiff is correct that arbitration agreements in residential construction contracts are governed by Business and Professions Code section 7191 (“section 7191”). Section 7191 sets out specific requirements for an arbitration provision in such contracts, including how the provision should be titled, requirements for the text font and size, and the language of the “notice” provision. (Bus. & Prof. Code, § 7191, subds. (a)-(b).) Of most relevance here, section 7191, subdivision (b) requires a specific “notice” provision to appear “[i]mmediately before the line or space provided for the parties to indicate their assent or nonassent to the arbitration provision.” (Bus. & Prof. Code, § 7191, subd. (b).) In the Agreement here, the “notice” provision is provided before a space for “Owner” to specifically consent to the provision, but there is no space for the “Contractor.” (Kessler Decl., Exh. 1, § 16.) However, the representative of the “Contractor” did initial the page directly above this provision. With the exception of this narrow initialing question, the Agreement here otherwise appears to strictly conform with each of the statutory requirements set forth in section 7191.

This

Court finds that the above language of section 7191, subdivision (b) is somewhat ambiguous with respect to whether the arbitration provision must be separately signed or initialed by the contractor who seeks to enforce the provision against a signatory owner who has initialed the provision. The Second District Court of Appeal has previously interpreted section 7191, subdivision (b) to “require[] an arbitration clause to be initialed by the parties in spaces below.” (Woolls v. Superior Court (2005) 127 Cal.App.4th 197, 207 (Woolls).) However, the facts in Woolls are

distinguishable from the Agreement here. In *Woolls*, the court found that the arbitration provision was unenforceable based on total non-compliance with the requirements of section 7191. (Ibid.) For example, the arbitration provision in *Woolls* was not appropriately titled, the provision lacked the appropriate “notice” disclosure or any mention of the waiver of the right to court proceedings or a jury trial, and no space for either of the parties’ initials was provided (so even the owner had not separately acknowledged the provision). (Ibid.) By contrast to the *Woolls* agreement, here, the Agreement’s arbitration provision complies with every statutory requirement of section 7191 other than providing a space for the Contractor to specifically initial the provision.

Simply

put, *Woolls* is not authority for the proposition that an arbitration provision governed by section 7191 will be unenforceable against a signatory Owner where the Contractor has demonstrated substantial compliance with section 7191. As Plaintiff fails to identify any legal citation to support her argument, the Court concludes that the Legislature could not have reasonably intended to foreclose the enforcement of an otherwise-enforceable arbitration provision against a signatory Owner where the Contractor has demonstrated substantial compliance with the protections of section 7191, particularly with respect to notifying Plaintiff of her rights. (See *Robertson v. Health Net of California, Inc.* (2005) 132 Cal.App.4th 1419, 1430 [the doctrine of substantial compliance “excuses literal noncompliance only when there has been ‘actual compliance in respect to the substance essential to every reasonable objective of the statute.’”].) Because the consumer-protection objectives of section 7191 have been met in every respect here, the doctrine of substantial compliance must govern the Agreement.

Under

the circumstances here, the question of whether US Modular agreed to arbitrate matters arising out of the Agreement turns on ordinary principles of contract formation. (See *Basura v. U.S. Home Corp.* (2002) 98 Cal.App.4th 1205, 1215 (Basura).) In general, a defendant’s failure to separately “initial” an arbitration clause is not dispositive; instead, the relevant inquiry is whether the defendant intended to be bound by the arbitration provision. (Ibid.) As a point of comparison, this principle is repeatedly seen in the employment context, where the employer might not sign the employee’s arbitration agreement. (*Mar v. Perkins* (2024) 102 Cal.App.5th 201, 21 [finding a mutually enforceable arbitration agreement where the agreement itself indicated that

employer agreed to be bound to the agreement and to arbitrate relevant disputes]; *Cruise v. Kroger Co.*, (2015) 233 Cal.App.4th 390, 398–399 [finding a mutually enforceable agreement to arbitrate where the agreement was printed on the employer's company letterhead and the agreement declared the employer's intent to be bound to "mandatory" binding arbitration].) Comparably, here, the Agreement is printed on US Modular's company letterhead and was clearly prepared by the Contractor. (Kessler Decl., Exh. 1.) The Agreement is initialed on every page by a representative of the Contractor, including on a page directly above the arbitration provision. (Id. at p. 5.) Further, because there is no separate space provided for the Contractor to initial, sign, or consent the arbitration provision, this is not a situation where the space was intentionally left entirely blank. (Ibid.) Considering the Agreement in its totality, the evidence supports a conclusion that US Modular did intend to be bound by the arbitration provision in the Agreement.

Accordingly, the Court finds that although a representative of US Modular did not specifically initial the arbitration provision itself, the Agreement's compliance with the formal requirements of section 7191 (title, typeface, disclosure notice, and initialing spaces for the Owner) reflects substantial compliance with section 7191 such that the arbitration provision is not automatically voided. Thus, Plaintiff fails to overcome her responsive burden of demonstrating a defense to the enforcement of the arbitration provision.

Therefore, US Modular's Motion to Compel Arbitration is GRANTED.

II. JOINDER TO MOTION TO COMPEL ARBITRATION – DENIED

Defendants

Kessler, Cavanaugh, and Ferreira (the "Joining Defendants") seek to join US Modular's motion to compel arbitration. The notice of joinder was filed and served to Plaintiff by mail on July 14, 2026. Even disregarding the additional time that must be added to the notice period where moving papers are served by mail, the Joining Defendants' notice of joinder was untimely filed and served. As Plaintiff has not had a fair opportunity to respond to this untimely filing, the Court finds that Plaintiff would be prejudiced if the Court were to consider the joinder.

Even

further, the notice of joinder is entirely devoid of any legal authority or argument demonstrating that the Joining Defendants have standing to enforce the arbitration agreement against Plaintiff. Where a defendant is not a signatory to an arbitration agreement, that defendant “bears the burden to establish he or she is a party to the arbitration agreement/provision covering the dispute.” (Jones v. Jacobson (2011) 195 Cal.App.4th 1, 15.) The Joining Defendants also fail to cite any language from the Agreement which demonstrates that the arbitration provision or the Agreement as a whole was expressly intended to apply to claims against officers or shareholders of the Contractor as third-party beneficiaries. Thus, even if the Court were to consider the merits of the joinder, there is no argument for the Court to consider.

Therefore,

the Joinder to the Motion to Compel Arbitration is DENIED.

III. MOTION

TO STAY PROCEEDINGS – GRANTED

Based on

the above ruling granting US Modular’s motion to compel arbitration, the Court also grants US Modular’s request to stay the pending litigation until arbitration has been completed. (Code Civ. Pro. § 1281.4.)

Defendant US Modular, Inc. to serve notice of ruling. This tentative ruling (“TR”) shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to counsel and posted to court’s website on 8/3/26 at 3 p.m.

[1] Plaintiff does not hide the fact that her purported “authority” is produced by a Google AI search. (See Opp., at pp. 14-24.) Many of the assertions of “law” produced in this search are unsupported by a citation to any legal authority.